

Name: Pranamya Narendra Tol

Roll No: HBM25191

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**Institute's Name: Sydenham Institute of Management Studies,
Research and Entrepreneurship Education, Mumbai**

1. INTRODUCTION AND HISTORY

Water purifiers have emerged as essential household appliances in India, driven by increasing water contamination, urbanisation, and rising health consciousness among consumers. This report provides a comprehensive microeconomic analysis of the water purifier industry, examining both backend production economics and frontend consumer market dynamics.

1.1 Evolution of Water Purification Technology

The history of water filtration dates back to ancient civilizations, where the primary objective was the removal of visible turbidity.

Ancient and Pre-Industrial Techniques: Ancient Sanskrit and Greek texts describe methods such as boiling, exposing water to sunlight, and filtering through charcoal and sand.

The Industrial Shift in India (Pre-1980s): Households relied on traditional methods like boiling or using cloth filters. The introduction of the "Candle Filter" a simple gravity-based device consisting of two stainless steel containers and porous ceramic candles marked the first commercialization of the product.

The Ultraviolet (UV) Revolution (1980s–1990s): The major structural shift in the industry occurred in the early 1980s with the entry of Eureka Forbes and its flagship brand, "Aquaguard". This era introduced Ultraviolet (UV) technology.

The Reverse Osmosis (RO) Disruption (1999–Present): UV technology, efficient against bacteria, was ineffective against dissolved salts. This utility gap led to the introduction of Reverse Osmosis (RO) technology, pioneered domestically by Kent RO Systems in 1999.

Current Era: Smart and Mineral Preservation Technology: Technologies such as Ultrafiltration (UF) and Nanofiltration have been integrated to create multi-stage purification systems (e.g., RO+UV+UF+TDS Controller). Furthermore, the integration of IoT (Internet of Things) for predictive maintenance signifies the industry's shift towards a "Service Economy" model.

1.2 Product Classification: Sunrise, Sunset, or Evergreen?

Water purifiers should be classified as an evergreen product with sunrise characteristics. The classification is justified by several factors. Structurally, water purification addresses a fundamental human need access to safe drinking water which remains constant regardless of technological advancement. The problem of water contamination persists despite infrastructure development, ensuring sustained demand.

However, evergreen status is tempered by environmental and regulatory pressures. The National Green Tribunal (NGT) and Ministry of Environment, Forest and Climate Change (MoEFCC) have issued guidelines restricting RO use in low-TDS (Total Dissolved Solids) areas below 500 ppm, potentially limiting markets in certain regions. Municipal infrastructure improvements could theoretically reduce demand for domestic purification, though this risk remains low given India's heterogeneous water quality across regions.

The sunrise dimension emerges through technological evolution. Smart water purifiers equipped with IoT features, real-time monitoring systems, and automated maintenance alerts appeal to tech-savvy consumers and represent the product category's growth frontier.

2. BACKEND ANALYSIS: PRODUCTION AND COST ECONOMICS

2.1 Production Modality and Technology

The water purifier manufacturing process employs multiple purification technologies, either as standalone solutions or integrated multi-stage systems. The primary technologies include:

Reverse Osmosis (RO): RO systems represent the most advanced purification method, utilizing a semi-permeable membrane with pore sizes of 0.0001 microns. Water is forced under high pressure (typically 220 psi from booster pumps) through this membrane, allowing water molecules to pass while rejecting dissolved salts, heavy metals, bacteria, and viruses. RO systems achieve approximately 99% contaminant removal, making them ideal for high-TDS water sources.

Ultraviolet (UV) Disinfection: UV technology employs ultraviolet radiation at specific wavelengths to destroy the DNA of microorganisms, rendering them inactive. UV systems excel at eliminating bacteria, viruses, and protozoa but lack the capacity to remove chemical contaminants, dissolved salts, or sediments.

Ultrafiltration (UF): UF employs membranes with larger pore sizes (10-100 nanometers) than RO, effectively removing suspended solids, microorganisms, and some organic compounds while retaining beneficial minerals. UF systems generate minimal reject water compared to RO, making them environmentally preferable for low-TDS water sources.

Activated Carbon Filtration: Carbon-based filtration operates through adsorption, where impurities chemically bond to the carbon surface. This technology effectively removes chlorine, volatile organic compounds (VOCs), pesticides, and compounds affecting taste and odor.

2.2 Raw Materials, Sourcing, and Procurement

Water purifier manufacturing relies on specialized raw materials and components sourced from both domestic and international suppliers:

RO Membranes: Thin-film composite (TFC) membranes constitute the technological core of RO systems. RO membranes are predominantly imported, with key suppliers located in the United States, Japan, and South Korea.

UV Lamps: Quartz glass tubes, tungsten electrodes, and specialized gas fillings (mercury or mercury-free noble gases) constitute UV lamp components. Often sourced from global lighting majors like Philips or imported from specialized manufacturers in China.

Filter Media: Activated carbon is produced through carbonization of organic materials (such as coconut shells, coal, or wood) followed by activation through steam or chemical treatment. Domestically, activated carbon suppliers operate across major industrial centers in Maharashtra, Gujarat, and Tamil Nadu.

Housing and Structural Components: Water purifier housing utilizes materials ranging from plastic (ABS polymer, polycarbonate) for entry-level models to stainless

steel for premium systems. Domestic petrochemical giants like Reliance Industries and GAIL supply the raw polymer granules. The molding is done in industrial clusters such as Baddi (Himachal Pradesh), Haridwar (Uttarakhand), and Noida (UP), which were historically tax-exempt zones.

Pumps and Control Systems: High-pressure booster pumps powering RO systems are sourced from domestic pump manufacturers or imported from established suppliers. Electronic control panels, incorporating sensors for water quality monitoring and filter replacement indicators, are increasingly manufactured domestically through electronics assembly units. China and Taiwan are the dominant suppliers due to their massive scale in electromechanical manufacturing. However, under the Production Linked Incentive (PLI) schemes, domestic assembly of pumps is increasing in hubs like Noida and Pune to reduce import dependence.

2.3 Cost Analysis: Capital Expenditure and Operating Expenditure

Capital Expenditure (CapEx): Establishing a water purifier manufacturing facility requires significant upfront investment, with cost structures varying by production scale and technology complexity.

For small-scale mineral water plant operations (1000 LPH capacity), typical CapEx allocation includes: land and building (₹3-5 lakhs for rented space), machinery and equipment (₹8-12 lakhs for semi-automatic systems), and initial inventory (₹1-2 lakhs for bottles, caps, and labels). Total initial investment for small-scale operations ranges from ₹10-20 lakhs, depending on automation levels and location factors.

For commercial RO plant establishments (500-2000 LPH capacity), CapEx escalates significantly to ₹20-60 lakhs, reflecting increased mechanization, quality control infrastructure, and larger facility requirements. Industrial-scale operations capable of 10,000+ LPH production demand CapEx ranging from ₹1-5 crores, incorporating sophisticated water treatment systems, membrane housing units, and automated bottling-packaging lines.

Component	Estimated Cost (INR)
RO Membrane	₹350 – ₹800
Booster Pump	₹800 – ₹1,200
Plastic Body & Tank	₹800 – ₹1,200
Filters (Sediment, Carbon)	₹250 – ₹400
UV Lamp & Barrel	₹250 – ₹400
SMPS (Power Supply)	₹150 – ₹300
Solenoid Valves/Sensors	₹200 – ₹400
Packaging & Misc.	₹200 – ₹300
Total BOM Cost	₹3,000 – ₹4,600
Labor & Overheads	₹300 – ₹500
Total Ex-Factory Cost	₹3,300 – ₹5,100

The machinery cost breakdown typically allocates: RO units and filtration systems (40%), bottling and packaging machinery (30%), building and installation (20%), and testing equipment and quality control (10%).

Operating Expenditure (OpEx): The variable cost of production is primarily driven by the Bill of Materials. For a standard RO+UV water purifier with a retail price (MRP) of ₹15,000, the manufacturing cost is significantly lower, revealing high gross margins that cover marketing and distribution.

This cost analysis reveals that the manufacturing cost is typically 25-35% of the MRP. The remaining margin is absorbed by distribution channels (distributors, retailers), marketing (significant in this oligopolistic market), GST (18%), and corporate profits.

2.4 Supply Chain: Backend and Frontend

Tier 1 Raw Material Suppliers: Global and domestic suppliers provide specialized components. RO membrane suppliers (FilmTec, Hydranautics, LG Chem, local equivalents) operate through authorized distributors. Chemical suppliers provide treatment chemicals and coagulants. Electrical component suppliers offer pumps, motors, and control electronics.

Tier 2 Component Manufacturers: Domestic manufacturers assemble components into sub-assemblies. Plastic housing manufacturers convert raw plastics into purifier

bodies. Electronics assembly units integrate circuit boards and sensors. Filter media packaging units prepare carbon cartridges and sediment filters.

Tier 3 Water Purifier Manufacturers: Organized sector manufacturers like Eureka Forbes, Kent RO Systems, Livpure, and A.O. Smith integrate component sub-assemblies into finished water purifiers. The distribution channel is the conduit for value delivery. The industry has seen a shift from direct sales to a multi-channel approach.

1. Direct Sales (The "Eurochamp" Model) Historically, Eureka Forbes built its empire on direct selling—door-to-door sales agents who demonstrated the product in the customer's kitchen. This model was necessary to educate consumers about invisible water contamination. It creates high conversion rates but involves high variable costs in the form of sales commissions.

2. Retail Distribution (The Appliance Model) Kent RO disrupted the market by treating the water purifier as a standard home appliance sold through retail counters (Croma, Vijay Sales, local electrical shops). This model relies on a classic **Manufacturer -> Distributor -> Dealer -> Consumer** chain. It offers wider reach but results in **Double Marginalization**, where both the distributor and retailer add their markups.

3. Online/E-commerce (The Digital Model) Post-COVID, sales through platforms like Amazon and Flipkart have surged. This model reduces channel costs (disintermediation) and allows for competitive pricing. Direct-to-Consumer (D2C) brands like Livpure also use this channel to offer subscription-based models ("Water-as-a-Service").

In Mumbai, industrial areas like Andheri, Thane, Dombivli and parts of Navi Mumbai (Turbe, Vashi) have multiple appliance wholesalers who stock purified water systems and spares.

2.5 Government Policy and Regulation

Government intervention fundamentally shapes the supply landscape.

1. Bureau of Indian Standards (BIS) The BIS has notified **IS 16240:2023**, a standard for Reverse Osmosis based point-of-use water treatment systems. These standard mandates specific requirements for water recovery (to reduce wastage) and reduction of specific contaminants. Compliance with these standards acts as a **Non-Tariff Barrier**, raising the cost of entry for unorganized players who may lack the R&D capabilities to meet these rigorous specifications.

2. National Green Tribunal (NGT) Orders the NGT has been a potent regulatory force. In response to the high-water wastage of RO systems (often wasting 3 liters for every 1 liter purified), the NGT directed the Ministry of Environment to prohibit the use of RO purifiers in areas where the Total Dissolved Solids (TDS) in water is below 500 mg/liter. While enforcement has been challenging, this policy signal has forced manufacturers to innovate "Zero Water Wastage" technologies (re-circulating reject water) and diversify into UV/UF models for low-TDS regions.

3. FRONTEND ANALYSIS: MARKET DEMAND AND REVENUE DYNAMICS

3.1 Market Demand Characteristics

The demand for water purifiers in India reflects the characteristics of a normal to superior good, where demand rises significantly with increasing household income and awareness of health concerns. As urbanization and disposable incomes grow, especially among middle- and upper-income households, more consumers prioritize safe drinking water, leading to higher adoption of purifiers. The product exhibits moderate price elasticity—consumers are somewhat sensitive to price changes, particularly in the mid- and low-income segments, where even small cost increases can lead to delays in purchase or a shift to simpler alternatives like boiling water or using gravity-based filters. However, the perceived health benefits and rising instances of water contamination drive relatively inelastic behavior among health-conscious consumers. Overall, the nature of demand is positively influenced by income, health awareness, and seasonal factors, making water purifiers a steadily growing necessity in urban India.

Demand for water purifiers in India derives from multiple interconnected factors encompassing health consciousness, urbanization patterns, water quality concerns, and income elasticity effects.

Health Awareness and Water-Borne Disease Concerns: Increased access to health information through digital media, rising education levels, and high-profile water quality crises in urban centers amplify consumer perception of purification necessity.

Urbanization and Income Growth: India's rapid urbanization, with urban population growing at 2.3% annually, expands the addressable market. Simultaneously, rising household disposable incomes growing at 12% annually according to RBI data enhance purchasing power for premium appliances.

Water Quality Degradation: Total Dissolved Solids (TDS) levels exceeding 500 ppm in municipal water supplies across multiple Indian cities create objective necessity for RO purification.

Residential vs. Commercial Demand: The residential segment dominates driven by household health consciousness and family-level decision-making. Commercial segments (offices, hotels, restaurants, hospitals, educational institutions) represent faster-growing segments driven by institutional compliance with water quality standards and corporate social responsibility imperatives.

3.2 Pricing Mechanisms: Wholesale and Retail

Pricing in the water purifier industry is not determined by simple supply-demand equilibrium but by **Mark-up Pricing** and **Perceived Value Pricing**.

Wholesale Pricing: Determined by cost-plus methods. Manufacturers negotiate bulk rates with distributors based on volume commitments. **Retail Price Determination:** Influenced by brand positioning. Premium brands (Kent, Aquaguard) use **Skimming Pricing** strategies for new models (smart/alkaline), while unorganized players use **Penetration Pricing**.

Retail Pricing: Retail pricing segments consumers into distinct categories:

- **Entry-Level (₹5,000-₹10,000):** Basic RO models with 5-7 filtration stages, serving price-sensitive consumers and small households

- **Mid-Range (₹10,000-₹20,000):** Feature-rich systems with UV integration, mineralizers, and TDS controllers, targeting middle-income families
- **Premium (₹20,000+):** Advanced systems incorporating smart sensors, IoT connectivity, automatic flushing, mineral enrichment, and extended warranties

3.3 Demand Elasticity Analysis

Understanding elasticity is crucial for revenue maximization strategies.

Price Elasticity of Demand:

Category Elasticity (Relatively Inelastic): For the product category as a whole, demand is relatively inelastic. Clean water is a necessity for health. A 10% increase in the general price level of purifiers is unlikely to cause a proportionate drop in demand because the alternative (unsafe water/disease) is too costly in health terms.

Brand Elasticity (Elastic): For individual brands, demand is elastic. If Kent raises prices while Eureka Forbes does not, consumers can easily switch, as the products are close substitutes.

Income Elasticity of Demand:

Water purifiers are **Normal Goods** (and for high-end models, Luxury Goods). As household income rises, demand shifts from basic gravity filters to advanced RO and IoT-enabled systems. The income elasticity is high, particularly in the developing rural markets.

Cross-Price Elasticity:

Water purifiers exhibit substitution relationships with alternative water sources and treatment methods. Bottled water consumption, though perceived as inferior (higher long-term cost, environmental concerns), represents a competing alternative. Price decreases in RO purifiers modestly reduce bottled water consumption. Similarly, alternative purification methods (gravity-based filters, boiling) offer low-cost substitutes.

3.4. Market Structure and Competitive Analysis

The Indian water purifier market exhibits oligopoly with significant market concentration among established brands and competitive fringe of smaller players.

Market Leaders: Eureka Forbes (Aquaguard brand) maintains approximately 34% market share, establishing category leadership through early market entry, extensive direct-selling networks (5,000+ agents), and robust after-sales service infrastructure. Kent RO Systems captures 15-18% market share through aggressive marketing, product innovation, and multi-channel distribution. Hindustan Unilever's Pureit brand commands 10-12% share leveraging parent company distribution networks. Livpure captures 8-10% share through competitive pricing and regional presence. A.O. Smith, Blue Star, LG Electronics, and Panasonic collectively hold 15-20% share, with international brands differentiating through technology leadership and premium positioning.

Competitive Intensity: The market exhibits highly competitive intensity across multiple dimensions. Price competition emerges particularly at entry-level segments where undifferentiated products (₹5,000-₹8,000 range) compete primarily on price. Differentiation strategies focus on technology features (smart sensors, mineralizers, copper infusion), brand reputation, and after-sales service strength. Unorganized players (estimated at 20-25% market share) compete through low-cost production and local market presence, though quality variability and limited-service networks restrict their competitiveness.

Competitive Advantage Drivers: Sustainable competitive advantages manifest through: (1) Brand heritage and consumer trust (Eureka Forbes, Kent), (2) After-sales service networks ensuring customer retention and recurring revenues through cartridge sales, (3) Distribution network breadth providing market access, (4) Technology differentiation through advanced filtration systems and smart features, and (5) Cost efficiency enabling competitive pricing without margin compression.

3.5 Revenue Models and Stakeholder Distribution

A unique economic feature of this product is the Two-Part Tariff or Razor-Blade Model of revenue generation.

1. **Hardware Revenue:** One-time revenue from the sale of the purifier unit.
2. **Service Revenue (The Long Tail):** The recurring revenue from Annual Maintenance Contracts (AMC) and consumables (filter replacements). An RO membrane needs replacement every 1-2 years, and carbon filters every 6 months.
3. **Economic Impact:** Over a 5 to 7-year product lifespan, the service revenue (approx. ₹4,000/year x 7 years = ₹28,000) often exceeds the initial hardware cost (₹15,000). This incentivizes firms to price the hardware competitively to capture the lucrative, high-margin service annuity.

Stakeholder Distribution

Manufacturers (Organized Sector): Eureka Forbes, Kent RO Systems, Livpure, and other organized manufacturers capture approximately 75% of market value through hardware sales, capturing the largest margin component. Average manufacturer margins approximate 20-30% of retail price.

Distributors and Dealers: Authorized distributors and retail dealers capture 8-12% of retail value through distribution margins. Multiple-tier distribution (manufacturers → distributors → sub-distributors → retailers) fragments this margin, with each tier claiming 5-8% spreads.

Service and Maintenance: After-sales service revenues, including filter replacement cartridges, maintenance contracts, and repair services, increasingly constitute profit pools. Filter cartridge replacement cycles (every 3-6 months) create recurring revenue streams with margins exceeding hardware sales, often 40-50% on replacement cartridges.

Installation and Support Services: Installation technicians, authorized service centers, and in-home service providers capture 2-4% of consumer spending through installation fees, annual maintenance contracts (AMCs), and repair services.

3.6 Marketing and Promotion Strategies

Brands heavily promote water purifiers through health messaging and technology claims. Common strategies include:

- **Television and digital ads:** Major brands invest in catchy TV commercials and online campaigns. Livpure, for instance, ran a popular TVC using an elephant analogy (“Hathi kaun paalega?” – “Who will domesticate an elephant?”) to humorously address the hassle of filter maintenance, in late 2018 Eureka Forbes (makers of Aquaguard) launched a TVC campaign titled “Har Water Purifier Aquaguard Nahi Hota” (“Not every water purifier is Aquaguard”).
- **Celebrity endorsements:** Brands often tie up with actors/celebrities (e.g. Aquaguard ads with Anupam Kher, Kent with Hema Malini) to build trust.
- **Demo events:** Companies set up demo units in appliance stores and malls for live water-testing demonstrations (showing clear vs. tap water under UV light, TDS readings etc.). This experiential marketing is important in urban retail.
- **Digital marketing:** Increasingly, firms use social media, YouTube and influencer marketing. Livpure’s VP notes about 50% of their media budget is split between digital and traditional channels. They target ads at specific consumer segments (e.g. health-conscious parents, tech-savvy youths) using data-driven insights

3.7 The Nature of Selling Costs involved

In the water purifier industry, selling costs are disproportionately high relative to production costs because the product functions as a "credence good," where the consumer cannot easily verify the quality of the output (clean water) without trusting the brand. To bridge this "trust deficit," firms incur massive sunk costs in persuasive advertising and celebrity endorsements to signal reliability, alongside high variable costs in the form of sales commissions for agents who must actively "push" the product through door-to-door demonstrations or retail counters. These expenses, combined with the significant margins ceded to a multi-layered distribution network of wholesalers and retailers, mean that a large fraction of the final Maximum Retail Price (MRP) is essentially the cost of convincing the consumer and delivering the product to their doorstep, rather than the cost of the hardware itself.

4. SUGGESTIONS FOR IMPROVING PRODUCTION AND DELIVERY EFFICIENCY

Advanced Manufacturing Technologies: Adoption of Industry 4.0 technologies including automation, robotics, and IoT-enabled monitoring systems enhances production efficiency while reducing labor costs.

Supply Chain Optimization: Establishing long-term contracts with component suppliers and diversifying sourcing geographically reduces procurement costs and supply disruption risks.

After-Sales Service Network: Expanding authorized service center networks in underserved regions captures service revenue opportunities while improving customer satisfaction. Mobile service units addressing remote areas reduce infrastructure investment while ensuring service accessibility.

Digital Platform Integration: Implementing mobile applications and IoT-enabled purifiers facilitating remote monitoring, filter replacement scheduling, and technician dispatch optimizes service operations and improves customer engagement metrics.

Standardization of Consumables The industry suffers from a lack of standardization, leading to a monopoly on spares for specific models. Moving towards standardized filter sizes (like standard lightbulb sockets) would increase competition in the spares market. This would lower OpEx for consumers, increasing the overall consumer surplus and potentially expanding the market size by making maintenance more affordable.

Energy and Waste Management: Adopt renewable power (solar roofing) in factories to cut electricity expense (RO and manufacturing are power-hungry). Develop eco-friendly reject management (e.g., recycling RO reject for cleaning) to comply with environmental rules cost-effectively.

5. LESSONS LEARNED AND KEY TAKEAWAYS

Brand Building in Essential Categories

The dominance of Eureka Forbes despite significant competition demonstrates that in essential product categories, brand heritage, consistent quality, and reliable after-sales service create durable competitive moats.

Multi-Channel Distribution Necessity

The evolution from exclusive direct-selling networks to omnichannel distribution reflects market maturation. Modern consumers expect purchase convenience through multiple channels (online, retail, direct), and channel breadth directly correlates with market share growth.

Recurring Revenue Through Service and Accessories

Hardware sales alone provide limited margin sustainability given commoditization pressures. Companies achieving superior profitability emphasize recurring revenues through filter cartridge sales, maintenance contracts, and service offerings.

Emerging Opportunities in IoT and Smart Purifiers

Smart water purifiers with real-time water quality monitoring, automatic filter replacement alerts, and mobile app integration appeal to tech-savvy consumers willing to pay premium prices (30-40% above conventional models).

Regulatory Interdependence: The industry is deeply intertwined with environmental policy. Economic viability is contingent on regulatory compliance (BIS, NGT). This teaches that firms must internalize environmental costs (water wastage) into their production functions to ensure long-term sustainability.